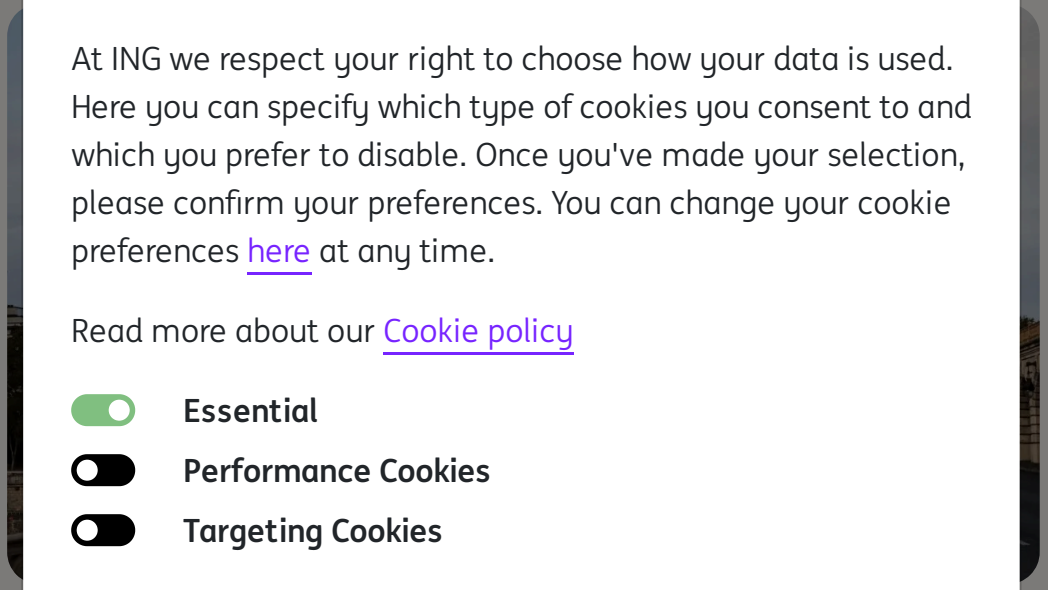
France's 2027 budget would prevent a sharp deterioration in the public finances, but it would not be enough to stabilise public debt. Its adoption would provide some relief, although fiscal and political risks are likely to remain well beyond next year's presidential election



C



Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Confirm selection

Accept all

France is in the eye of the storm. Its public finances have deteriorated significantly, the budget faces a difficult parliamentary process, and the presidential election offers no clear prospect of political stabilisation. Economic conditions provide little support; we expect GDP growth of only 0.3% in 2026 and 0.6% in 2027.

France's debt dynamics are particularly unfavourable. Over the past 15 years, its public debt ratio has risen significantly, while many other European countries have reduced theirs. French public debt reached 119% of GDP in mid-2026 and is expected to increase to

121.7% in 2027. Persistent primary deficits, rising interest payments and weak growth mean that debt will continue to rise without sustained fiscal adjustment.

The budget would limit the deterioration, not stabilise debt

The draft budget aims to reduce the public deficit to 5% of GDP in 2027, after 5.4% in 2026 and 5.1% in 2025. This requires €43bn of new measures. Without them, the government estimates that the deficit would reach around 6.5% next year.

This is a substantial adjustment and is consistent with France's E
t
b
d

T
r

T
7
A
n
b
e
r

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

We, nevertheless, expect the government to survive. Opposition parties have little incentive to trigger another political crisis shortly before the presidential election, take responsibility for the resulting instability and risk a further deterioration in the public finances.

Alternatively, the government could let the deadline expire and impose its original budget by ordinance. It would first have to survive any pre-emptive no-confidence motion. Once the ordinances were adopted, however, the budget would remain in force even if the government subsequently fell.

Failing either outcome, a special law would ensure continuity of the state. But the deadlock could last until the summer and, without corrective measures, cause a sharp deterioration in the public finances.

France therefore faces another two months of budget uncertainty. Adoption would be a relative success, preventing the deficit from rising towards 6.5%. But concessions could dilute the adjustment, while even the original package would not stabilise debt.

Fiscal uncertainty will persist in 2027

Even if the budget is adopted, fiscal uncertainty will not disappear.

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

The far-left La France Insoumise and its candidate, Jean-Luc Mélenchon, support cancelling part of the debt held by the central bank and pursuing an expansionary fiscal policy. There is even less visibility on who will emerge from the centre, the right and the rest of the left, or on their fiscal plans.

The 2027 budget will be a critical first step in containing France's fiscal deterioration. Whether that adjustment can be sustained and extended after the election remains much more uncertain.

Public finances | GDP | France | Eurozone | Elections

Deficit Debt Budget

Content Disclaimer

This publication has been prepared by ING solely for information purposes irrespective of a particular user's means, financial situation or investment objectives. The information does not constitute investment recommendation, and nor is it investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument.

Read more

Share Download

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

ING Monthly: Same fears, different crisis

This bundle contains 16 articles

Included in the following ING Monthly


ING Monthly: Same fears, different crisis

6 NOVEMBER 2023

ING Monthly: Same fears, different crisis

Contains 1 bundle or report and 15 articles



Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies